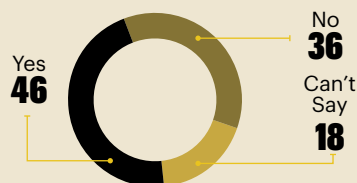
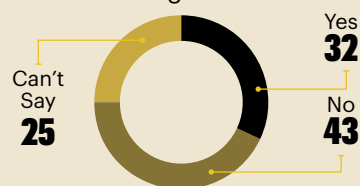


VOICE OF THE ENTREPRENEUR

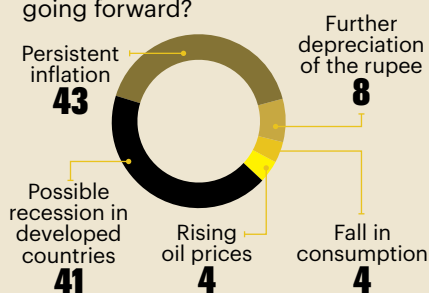
Are you planning to downsize your workforce in FY23-24?



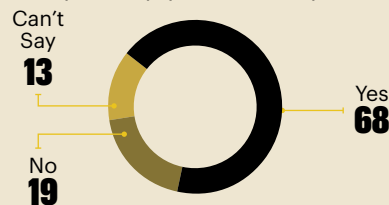
Do you expect India's GDP growth in FY24 to be higher than in FY23?



What is your biggest worry going forward?



Do you expect the new Foreign Trade Policy to help you boost exports?



ALL FIGURES IN PER CENT

SOURCE THE BT-C FORE BUSINESS CONFIDENCE SURVEY CONDUCTED BETWEEN APRIL 7 AND 18, 2023, OF 500 CEOs OR CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES ACROSS DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM AND BHUBANESWAR

levels, with some more transmission left. As interest rate movements impact the economy with a lag, the peak impact will play out through this fiscal.”

Looks like strong underlying headwinds. No wonder the fall in business confidence is seen across industries and company sizes (see chart *BCI Slips for Two Successive Quarters...*). However, Richa Roy, Partner at Cyril Amarchand Mangaldas, feels that while there are multiple causes of concern likely reflected in the responses to the BCI—war, commodity prices, supply chain constraints, inflation and rising interest rates, possible recessionary trends in international markets, financial sector vulnerabilities in the US—there are multiple factors indicating cause for optimism as well. “The World Economic Outlook released by the IMF in April indicates a rocky recovery for the world, but indicates high growth rates for India,” she says. “RBI also marginally increased its growth estimate for FY24.”

Expectations for the April-June 2023 quarter are bleaker than Q4FY23. Businesses are low on confidence especially in hiring conditions and profits, with both indices logging less than 5 (on a scale of 10). With layoffs continuing across sectors and tech in particular, this is no surprise. In fact, 46 per cent of the BCI respondents said they planned to downsize their workforce in fiscal 2023-24, with another 18 per cent sitting on the fence. Roy expects tech to see more layoffs going forward, but manufacturing and services may remain strong.

So, what really are the primary concerns of businesses going

forward? The top two worries are, expectedly, persistent inflation and a possible recession in developed countries (see chart). ICRA's Nayar says that she expects inflation to moderate to an average 5.3 per cent in FY24 compared to 6.7 per cent in FY23. “However, the potential development of El Niño conditions and its impact on the southwest monsoon, and thereby crop output and food prices, poses upside risks to our inflation projections,” she cautions.

As for possible recession in the West, Joshi of CRISIL says: “Global growth is projected to slow to 2.7 per cent in 2023 with advanced countries (particularly the US and Europe) pulling growth down, while China's growth is expected to accelerate to 5.5 per cent due to relaxation of Covid-19-related restrictions.” Adds Roy: “Internationally, the next quarter is likely to be tough, given recent indications, including tightening labour conditions, the outlook for export-led- or externally facing-businesses will be tough.” ICRA's Nayar says the slowdown has already manifested in a decline in India's merchandise exports, which is likely to exacerbate further with continued monetary tightening in several advanced economies and their lagged impact on output.

Economists also worry about the southwest monsoon's performance this fiscal. Nayar feels that if the monsoon turns out to be below normal amid fears of an El Niño effect, “it could shave off up to 50 bps from the GDP growth, even as the ongoing spike in Covid-19 cases is emerging as a renewed risk to the near-term growth outlook”. Most survey respondents also don't expect